

7.4 PAYMENT TRACKING

Importance of Payment Tracking

Tracking subcontractor payments is essential for:

- Managing cash flow and ensuring funds are available when needed
- Protecting against mechanic's liens by obtaining lien waivers
- Verifying work completion before releasing payments
- Maintaining professional relationships with subcontractors
- Documenting payment history in case of disputes

CRITICAL: Lien Waiver Best Practices

- **Never make a payment without receiving a lien waiver**
- For progress payments: Obtain "Conditional Waiver and Release Upon Progress Payment" before paying
- For final payment: Obtain "Unconditional Waiver and Release Upon Final Payment" before paying
- Keep all lien waivers in Section 3 (Subcontractor Management)
- Verify subcontractor has paid their suppliers before releasing final payment

Use the forms below to track all payments to subcontractors. Update immediately when payments are made.

Subcontractor Payment Tracking #1

Subcontractor Name: _____						
Trade: _____			Contract Date: _____			
Total Contract Amount: \$ _____						

Payment	Date	Amount	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)		\$	☐ Y ☐ N		☐ Y ☐ N	

Draw 2 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Final Payment		\$	☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID	\$		BALANCE OWED: \$			

Work Completion Status Before Final Payment:

☐ All work completed per contract ☐ Punch list items completed ☐ Final inspection passed

Subcontractor Payment Tracking #2

Subcontractor Name: _____	
Trade: _____	Contract Date: _____
Total Contract Amount: \$ _____	

Payment	Date	Amount	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)		\$	☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Final Payment		\$	☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID	\$	BALANCE OWED: \$				

Work Completion Status Before Final Payment:

☐ All work completed per contract ☐ Punch list items completed ☐ Final inspection passed

Subcontractor Payment Tracking #3

Subcontractor Name: _____	
Trade: _____	Contract Date: _____
Total Contract Amount: \$ _____	

Payment	Date	Amount	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)		\$	☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	

Draw 3 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Final Payment		\$	☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID	\$		BALANCE OWED: \$			

Work Completion Status Before Final Payment:

☐ All work completed per contract ☐ Punch list items completed ☐ Final inspection passed

Subcontractor Payment Tracking #4

Subcontractor Name: _____	
Trade: _____	Contract Date: _____
Total Contract Amount: \$ _____	

Payment	Date	Amount	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)		\$	☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Draw 3 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Final Payment		\$	☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID	\$	BALANCE OWED: \$				

Work Completion Status Before Final Payment:

☐ All work completed per contract ☐ Punch list items completed ☐ Final inspection passed

Subcontractor Payment Tracking #5

Subcontractor Name: _____	
Trade: _____	Contract Date: _____
Total Contract Amount: \$ _____	

Payment	Date	Amount	Paid?	Check #	Lien Waiver Received?	Notes
Draw 1 (Deposit/Start)		\$	☐ Y ☐ N		☐ Y ☐ N	
Draw 2 (Progress)	2	\$	☐ Y ☐ N		☐ Y ☐ N	© 2024 Build Your House

Draw 3 (Progress)		\$	☐ Y ☐ N		☐ Y ☐ N	
Final Payment		\$	☐ Y ☐ N		☐ Y ☐ N	
TOTAL PAID	\$		BALANCE OWED: \$			

Work Completion Status Before Final Payment:

☐ All work completed per contract ☐ Punch list items completed ☐ Final inspection passed